

Calendar Line 11

Case Name: *Jeremiah Johnson v. Apple, Inc., et al.*

Case No.: 24CV450382

This is a class action that arises from Defendant Apple, Inc.’s (“Defendant” or “Apple”) alleged breach of contract with regard to its “Patent Recognition Program.”

Before the Court is Apple’s demurrer to Plaintiff Jeremiah Johnson’s third amended complaint (“TAC”). As discussed below, the Court SUSTAINS Apple’s demurrer with 20 days’ leave to amend.

XLIII. BACKGROUND

According to the allegations of the operative TAC, Plaintiff is employed in Apple’s Software Engineering and Tools Framework division, which focuses on accessibility across Apple’s operating systems. (TAC, ¶ 42.) During this time, Plaintiff learned about the patent recognition program (the “Agreement”) whereby an Apple employee with an innovative original idea that might improve the functions and processes unique to Apple technology could submit the idea through the internal portal. (TAC, ¶ 43.) If the idea was accepted by Apple, the employee was entitled to incentive compensation in the amount of \$4,000 for each submitted idea that was patented or \$2,000 if multiple contributors were collaboratively involved in a submission. (*Ibid.*) Plaintiff alleges that despite Apple’s representations regarding compensation, he and Class/Subclass Members were not accordingly compensated. (TAC, ¶¶ 44-46.)

Based on the foregoing, Plaintiff initiated this action on October 25, 2024, and on January 8, 2025, he filed his first amended complaint. On August 14, 2025, Plaintiff filed his SAC, which asserted causes of action for: (1) breach of contract; (2) breach of covenant of good faith and fair dealing; (3) intentional misrepresentation, fraud, and deceit; (4) concealment; (5) conversion; (6) promissory fraud; (7) for restitution based on breach of implied-in-fact contract-unjust enrichment; (8) violation of Business & Professions Code § 17200, *et seq.*; (9) declaratory relief; (10) for accounting; (11) failure to timely compensation employees during employment per Labor Code §§ 204, subd. (a) and 1194, subd. (a); (12) failure to timely pay wages upon termination of employment in violation of Labor Code §§ 201-203; (13) failure to furnish accurate wage statements in violation of Labor Code § 226, subd. (a); and (14) violation of the Private Attorney Generals Act of 2004 (Lab. Code §§ 2698, *et seq.*).

Apple demurred to the SAC, however, Plaintiff failed to file an opposition. On February 6, 2026, the Court issued its order (the “Order”) which sustained the demurrer with 20 days’ leave to amend. The Court issued its tentative ruling on February 4, 2026 and on the same day, prior to the entry of the Order, Plaintiff filed the operative TAC, which asserts the following causes of action: (1) breach of contract; (2) breach of covenant of good faith and fair dealing; (3) intentional misrepresentation, fraud, and deceit; (4) concealment; (5) conversion; (6) promissory fraud; (7) for restitution based on breach of implied-in-fact contract-unjust enrichment; (8) for accounting; (9) failure to timely compensation employees during employment per Labor Code §§ 204, subd. (a) and 1194, subd. (a); (10) failure to timely pay wages upon termination of employment in violation of Labor Code §§ 201-203; (11) failure to

furnish accurate wage statements in violation of Labor Code § 226, subd. (a); (12) violation of Business and Professions Code § 17200, *et seq.*; and (13) violation of the Private Attorney Generals Act of 2004 (Lab. Code §§ 2698, *et seq.*).

XLIV. DEMURRER

Apple demurs to the entire TAC and separately to the third, fourth, fifth, sixth, seventh, eighth, ninth, tenth, eleventh, and thirteenth cause of action therein on the grounds that it fails to state a cause of action upon which relief can be granted. (Code Civ. Proc., § 430.10, subd. (e).)

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice.” (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) “It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

B. Discussion

Apple argues that, by failing to oppose the previous demurrer, Plaintiff abandoned the issues raised by it. (Apple’s Memorandum of Points and Authorities (“MPA”), p. 12:5-12.) In opposition, Plaintiff argues that he alleges ten specific qualifying ideas in 2011 and 2016 that Apple accepted for patent filing and incorporated into major products but failed to compensate. (Plaintiff’s Opposition (“Opp.”), p. 2:15-16.) Plaintiff further argues that the TAC materially differs from the SAC and it specifically addresses the accrual and concealment arguments asserted in the demurrer to Plaintiff’s SAC. (Opp., p. 2:17-18.) The Court finds that the TAC does not merely repeat prior allegations. Thus, it will address the substance of Apple’s arguments.

1. Seventh Cause of Action- Restitution Based on Breach of Implied-in-Fact Contract- Unjust Enrichment

Plaintiff alleges that under the Agreement, Apple agreed to pay employees incentive wages per accepted qualifying idea when the submitted ideas were used by it. (TAC, ¶ 145.) Apple accepted, used, and benefited from Plaintiff’s and other employees’ ideas but it failed to pay the compensation owed. (TAC, ¶¶ 147-149.)

There is no freestanding cause of action for “restitution” in California. (*Munoz v. McMillan* (2011) 195 Cal.App.4th 648, 661 (*Munoz*).) Restitution is also not a cause of action but a remedy. (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 (*Levine*).) “Unjust enrichment is not a cause of action, however, or even a remedy, but rather ‘a general principle, underlying various legal doctrines and remedies[.]’” (See *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387 (*McBride*) (internal citations omitted).) Unjust enrichment is synonymous with restitution. (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 (*Levine*).) As a matter of law, a quasi-contract action for unjust enrichment does not lie where express binding agreements exist and define the parties’ rights. (*California Medical Assn. v. Aetna U.S. Healthcare of California, Inc.* (2001) 94 Cal.App.4th 151, 172; see *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370 [appellate court determined unjust enrichment theory was not applicable where plaintiff alleges the parties entered into express contracts].)

Here, the existence and enforceability of the Agreement is undisputed by the parties. Thus, there is an express contract that covers the parties’ rights. Plaintiff alleges this claim in the alternative to his breach of contract claim. (See TAC, ¶ 151.) While a claim for unjust enrichment *may be alleged as an alternative theory of recovery* where a plaintiff also claims breach of contract, such an alternative claim must “deny the existence or enforceability of [the alleged] agreement.” (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1389-1390.) Here, Plaintiff fails to deny the existence or enforceability of the Agreement and instead alleges this claim “to the extent that [the Agreement] is found to be unenforceable, inapplicable, limited in scope, or otherwise insufficient to provide relief...” (See TAC, ¶ 151.) Plaintiff’s opposition also makes it clear that he still asserts that the Agreement is a valid enforceable contract. So long as this is the case, Plaintiff may not also bring a claim for restitution based on unjust enrichment.

Accordingly, Apple’s demurrer to Plaintiff’s seventh cause of action is SUSTAINED with 20 days’ leave to amend.

2. Eighth Cause of Action- Accounting

Plaintiff alleges there is a contractual relationship between the parties, which entitles Class Members to receive incentive wages. (TAC, ¶ 156.) Apple owed a duty to Plaintiff and Class/Subclass Members. (TAC, ¶ 157.) Apple accepted many ideas and filed patent applications thereon that an accounting is necessary to determine how many original ideas were submitted by Plaintiff and the Class/Subclass Members and what amounts are owed to them. (TAC, ¶¶ 158-159.)

“An action for an accounting has two elements: (1) that a relationship exists between the plaintiff and defendant that requires an accounting and (2) that some balance is due the plaintiff that can only be ascertained by an accounting.” (*Sass v. Cohen* (2020) 10 Cal.5th 861, 869 [internal citation omitted].) An action for accounting does not require a fiduciary relationship but may be brought where “the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable.” (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 910). “An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179 (*Teselle*).)

Here, Plaintiff alleges that pursuant to the Agreement, employees were owned between \$2,000 to \$4,000 per idea that was accepted by Apple. (See TAC, ¶ 17.) Plaintiff identifies the ideas that were accepted by Apple. (See TAC, ¶¶ 20, 22.) Thus, it appears that the amount to be recovered can be made certain by calculation. Consequently, a claim for an accounting is unavailable here. (*Teselle, supra*, 173 Cal.App.4th at p. 179.)

Accordingly, Apple's demurrer to Plaintiff's eighth cause of action is SUSTAINED with 20 days' leave to amend.

3. Ninth Cause of Action-Failure to Timely Compensate Employees During Employment

Plaintiff alleges the ninth cause of action under Labor Code sections 204, subdivision (a) and 1194, subdivision (a). Labor Code section 1194 pertains to the recovery of unpaid balance of minimum wage or overtime compensation. Here, the wages at issue are incentive wages. Plaintiff does not allege that it constitutes minimum or overtime compensation, nor does it appear to this Court that Plaintiff can assert so. Thus, Labor Code section 1194 cannot support Plaintiff's ninth cause of action.

Labor Code section 204 requires that "[a]ll wages . . . earned by any person in any employment are due and payable twice during each calendar month, on days designated in advance by the employer as the regular paydays." (Lab. Code § 204.) The remedy for a violation of Labor Code section 204 is found in Labor Code section 210, which provides that "every person who fails to pay the wages of each employee as provided in Section 204. . . shall be subject to a civil penalty." (Lab. Code § 210, subd. (a).) Under Labor Code section 210, "[t]he penalty shall be recovered by the employee as a statutory penalty pursuant to Section 98 or by the Labor Commissioner..." (*Ibid.*) Here, Plaintiff did not bring this action pursuant to Labor Code section 98, which concerns hearings before the Labor Commissioner. Thus, Plaintiff fails to sufficiently allege this claim.

Accordingly, Apple's demurrer to Plaintiff's ninth cause of action is SUSTAINED with 20 days' leave to amend.

4. Tenth Cause of Action- Failure to Timely Pay Wages Upon Termination of Employment

Plaintiff asserts this action on his own behalf and on behalf of the alleged Class/Subclass Members. (See TAC, ¶ 171.)

Labor Code section 201, subdivision (a), states, in relevant part, "If an employer discharges an employee, the wages earned and unpaid at the time of discharge are due and payable immediately." "If an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced; but the wages shall not continue for more than 30 days." (Lab. Code, §203, subd. (a).)

Apple argues that Plaintiff cannot assert this claim because he alleges he is still employed by Apple and thus, cannot seek waiting time penalties for himself. (MPA, pp. 19:26-20:4.) In opposition, Plaintiff asserts that the cause of action is brought on behalf of the subclass of former employees who separated during Class Period. (Opp., p. 8:5-6.) Plaintiff further argues that standing is derivative and proper in a class action. (Opp., p. 8:6-7.) Plaintiff fails to assert any authority in support of his arguments.

Here, the statutes apply to employees who are no longer employed. Plaintiff alleges he is still employed by Apple. (TAC, ¶ 40.) Thus, Plaintiff does not allege sufficient facts to support his assertion of this claim on behalf of Class and/or Subclass Members.

Accordingly, Apple's demurrer to the tenth cause of action is SUSTAINED with 20 days' leave to amend.

5. Thirteenth Cause of Action- Violation of PAGA

Apple argues that the demurrer must be sustained because Plaintiff failed to satisfy the administrative prerequisites.

Before bringing a PAGA action, an aggrieved employee must give the Labor & Workforce Development Agency ("LWDA") written notice of the facts and theories supporting the alleged Labor Code violations. (Lab. Code, §§ 2699.3, subds. (a)(1)(A), (b)(1), & (c)(1)(A).) The prefiling notice requirement is a mandatory precondition to bringing a PAGA claim. (See *Williams v. Superior Court* (2017) 3 Cal.5th 531, 545.) The employee may only bring a PAGA action after the LWDA either fails to act within a specified time or notifies the employee that the LWDA does not intend to take further action. (Lab. Code, § 2699.3, subds. (a)(2)(A) & (B).) A PAGA action is subject to a one-year statute of limitations. (*Brown v. Ralphs Grocery Co.* (2018) 28 Cal.App.5th 824, 839, citing Code Civ. Proc., § 340, subd. (a).) The 65-day period following notice to the LWDA and employer is "not counted as part of the time limited for commencement of the civil action to recover penalties" under PAGA. (Lab. Code, § 2699.3, subd. (d).)

As explained above, the demurrer to the ninth cause of action is sustained without leave to amend. Similarly, for reasons explained below, the demurrer to the eleventh cause of action is sustained without leave to amend. While the Court permits leave to amend the tenth cause of action, here, Plaintiff's November 4, 2024 PAGA notice to the LWDA only referenced Labor Code sections 204 and 226, subdivision (a). (See TAC, Exh. A.) Thus, to the extent Plaintiff seeks to rest his PAGA claim on the violations of Labor Code sections 201-203, it is unavailing. Based on the foregoing, it does not appear Plaintiff has Labor Code violations to support his PAGA claim. (See Lab. Code, § 2699.3, subd. (a).)

Accordingly, Apple's demurrer to Plaintiff's thirteenth cause of action is SUSTAINED with 20 days' leave to amend.

Now, the Court will turn to arguments regarding the statute of limitations.

6. Statute of Limitations

Plaintiff's claims arise from the following allegations:

- In April 2011, Plaintiff submitted seven ideas (“Sudden Impact”) via the internal Portal: P-60776-2011 (Touch Interface Enhancement), P-60777-2011 (Emergency SOS), P-60778-2011 (Medical ID), P-60779-2011 (Emergency Contact), P-60781-2011 (Fall Detection), P-60782-2011 (Crash Detection), P-60783-2011 (Cognitive Check). (TAC, ¶ 20.)
- These seven P-designated applications were marked “Draft” but were accepted by Apple’s Patent Review Committee for filing, as confirmed by the internal Portal notifications in April 2011 stating, “Idea accepted for patent filing.” Apple subsequently incorporated “Crash Detection” into iPhone (P-60782-2011), “Emergency SOS” into iPhone (P-60777-2011), and “Medical ID” into Apple Health (P-60778-2011), among others, but did not pay Plaintiff the incentive pay wages he had earned and was owed as the employee who had submitted the ideas for these P designated ideas after they were accepted by the Patent Review Committee for filing. Exact issued patent numbers are discoverable through Apple’s internal records, which Apple controlled. (*Ibid.*)
- In or about 2016, Plaintiff submitted three additional ideas via the internal Portal: P-60784-2016 (Care Events), P-60785-2016 (App Integrated RFID/QR Code Enabled Electro), P-60786-2016 (Assistive Access (Multi-Tier Operating System)). (TAC, ¶ 22.)
- Apple accepted them on or about June 10, 2016, via Portal confirmation stating, “Idea accepted for patent filing.” P-60786-2016 was marked “Draft” but accepted for filing. Apple subsequently incorporated “Care Events” into Apple Health (P-60784-2016), “Assistive Access” into iPhone (P-60786-2016), and “RFID/QR Code” into P-60785-2016, but did not pay Plaintiff, despite his full performance under the Agreement. The exact patent numbers are discoverable. (*Ibid.*)

“As a general rule, a statute of limitation accrues when the act occurs which gives rise to the claim, that is, when the plaintiff sustains actual and appreciable harm. Any manifest and palpable injury will commence the statutory period.” (*Costa Serena Owners Coalition v. Costa Serena Architectural Com.* (2009) 175 Cal.App.4th 1175, 1195-1196 [internal citations omitted].) Stated differently, “a cause of action accrues at the time when the cause of action is complete with all its elements and the statute of limitations runs from the occurrence of the last element essential to the cause of action.” (*JPMorgan Chase Bank, N.A. v. Ward* (2019) 33 Cal.App.5th 678, 687.)

Apple argues that Plaintiff’s claims are time-barred. (Apple’s MPA, p. 12:19-25.) Apple asserts, at the very least, that the eleventh and thirteenth causes of action are time-barred. Apple argues that Plaintiff’s claims are predicated upon his submissions from 2011 and 2016, thus, these claims are time-barred because he did not initiate this action until 2024. (MPA, p. 12:19-24.) In opposition, Plaintiff argues that the TAC alleges Apple’s active concealment through false portal notifications from 2018-2022 and his reasonable diligence and reasonable reliance upon Apple’s fraudulent and false representations that spanned over many years. (Opp., p. 3:8-12.)

“Under the delayed discovery rule, a cause of action accrues and the statute of limitations begins to run when the plaintiff has reason to suspect an injury or some wrongful cause, unless the plaintiff pleads and proves that a reasonable investigation at the time would not have revealed a factual basis for that particular cause of action. In that case, the statute of limitations for that cause of action will be tolled until such time as reasonable investigation

would have revealed its factual basis.” (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 803 (*Fox*)). ““In order to rely on the discovery rule for delayed accrual of a cause of action, “[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.” ’ [Citations.]” (*NBC Universal Media, LLC v. Superior Court* (2014) 225 Cal.App.4th 1222, 1232 (*NBC*); see also *April Enterprises, Inc. v. KTTV* (1983) 147 Cal.App.3d 805, 832 [“plaintiff must plead facts sufficient to convince the trial judge that delayed discovery was justified”]). “When a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory.” (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641 (*Mills*)).

The TAC alleges that Apple actively concealed non-payment of compensation that was owed to Plaintiff and the putative Class/Subclass Members by maintaining false Portal notifications from 2018-2022 which consistently (and falsely) affirmed active status stating “**Patent Recognition Program active, payments processing**,” despite having deleted the submission database in 2021, a fact that Apple actively concealed, preventing Plaintiff and Class Members from discovering the truth about payments that were owed. (TAC, ¶ 4 [emphasis original]; see also ¶ 19 [“Apple continued to perpetuate the concealment of the fact that they had scrapped the entire database[] by posting false Portal notifications between 2018-2022 which falsely stated, “**Program active, payments processing**.”] [emphasis original].) Plaintiff further alleges that as a result of Apple’s purported active concealment, Plaintiff and Class Members remained unaware of non-payment or credit status. (TAC, ¶ 21.)

Plaintiff describes the following conduct as his efforts of due diligence to determine whether his submissions had been accepted by Apple’s patent filings:

1. In September 2013, he asked Lana Nguyen, an Apple store manager, about how to get onto any patent filings, she did not know, but stated “be happy if Apple rolled forward with your idea.”;
2. In November 2016, he resubmitted an idea called “Sudden Impact”;
3. In July 2018, he reached out to James Vest (“Vest”), his supervisor, regarding the status of credit or payment for his submission—there was no status and Vest failed to escalate the issue;
4. In August 2018, Plaintiff attended a meeting where a colleague pitched one of Plaintiff’s ideas as her own and Plaintiff reminded her that the idea submission was his but the issues were never escalated;
5. In December 2020, Plaintiff followed up with James Cartwright, his manager, regarding payment for his submitted ideas, his inquiries were brushed off, and he was instructed to focus on accessibility;
6. On March 29, 2023, the manager of the ideas internal Portal, Beth Menz, states that the portal had been marked defunct in 2018 and subsequently erased.
7. Apple never kept a record of the ideas internal Portal in an effort to conceal any evidence of the truth and to cover up their fraud, where they instructed managers to encourage for qualifying original ideas that were subsequently submitted by Apple for patent filing.

(TAC, ¶ 24(a)-(f).)

Here, Plaintiff alleges that he started inquiring about the payment or credit in 2013, however, he does not describe any efforts to inquire about the payment from 2013-2018. Therefore, Plaintiff fails to state sufficient facts to support delayed discovery as to the 2011 submissions. Thus to the extent Plaintiff's claims are predicated upon the 2011 submissions, they are untimely. However, a demurrer does not lie to a portion of a cause of action. (See *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1692 (*PH II*)). Thus, the remaining inquiry is whether Plaintiff alleges sufficient facts to support delayed discovery as to the 2016 submissions.

Plaintiff alleges his 2016 submissions were accepted on June 10, 2016. (See TAC, ¶ 22.) He further alleges that Apple "subsequently incorporated Care Events into Apple Health [], "Assistive Access" into iPhone [], and RFID/QR Code into P-60785—2016. (*Ibid.*) Plaintiff alleges that he was unaware of non-payment due to Apple's deletion of the database and its false Portal notifications from 2018-2022 which falsely stated, "Program act, payments processing." (*Ibid.*) Plaintiff does not identify any conduct on his part from 2016-2018 to follow up on the nonpayment despite alleging that it occurred in 2016. Moreover, he fails to allege any conduct by Apple from 2016-2018 (until the false Portal notifications and his report to Vest). Thus, Plaintiff does not allege any due diligence by him during that time period nor does he allege the inability to make earlier discovery during 2016 to July 2018. (See *NBC, supra*, 225 Cal.App.4th at p. 1232.) In light of the fact that Plaintiff had not received payment from his 2011 submissions in 2016, the lack of allegation regarding an investigation or due diligence is material. Based on the foregoing, Plaintiff does not allege sufficient facts to support delayed discovery as to his 2016 submissions. Accordingly, the Court will turn to the timeliness of the individual claims.

i. First Cause of Action- Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.) "A cause of action for breach of contract accrues at the time of breach, which then starts the limitations period running." (*Cochran v. Cochran* (1997) 56 Cal.App.4th 1115, 1120.) Actions for breach of a written contract are subject to the four-year statute of limitations. (See Code of Civ. Proc., § 337, subdivision (a).)

Plaintiff alleges that Apple breached the contract when it failed to perform its payment obligations under the Agreement after Plaintiff and the putative Class/Subclass Members satisfied all conditions for the payment of the promised incentive compensation for the qualifying and accepted submissions. (TAC, ¶ 69.) He further alleges that Apple's breach was exacerbated by a systemic policy whereby Apple engaged in conduct designed to conceal and thwart discovery of the fact that they had deleted the entire database that hosted the employees' idea submissions, by 1) intentionally posting false status statements, and 2) by and through supervisors who actively discouraged employees from making and pursuing inquiries about rightful compensation and credit for their qualifying submitted ideas. (TAC, ¶ 70.)

As explained above, Plaintiff fails to allege sufficient facts to support the application of delayed discovery here. Plaintiff's breach of contract claim accrued when Apple failed to pay pursuant to the Agreement. Plaintiff did not file his action until October 25, 2024. Thus, in the

absence of the delayed discovery rule or another tolling principle, Plaintiff's breach of contract claim was untimely in 2024.

Accordingly, Apple's demurrer to Plaintiff's first cause of action is SUSTAINED with 20 days' leave to amend.

ii. *Second Cause of Action-Breach of the Covenant of Good Faith and Fair Dealing*

"[E]very contract imposes upon each party a duty of good faith and fair dealing in the performance of the contract such that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract." (*Storek & Storek, Inc. v. Citicorp Real Estate, Inc.* (2002) 100 Cal.App.4th 44, 55.)

"The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation." (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031 (*Racine & Laramie*).) "The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract's purpose." (*Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 690.) "In essence, the covenant is implied as a *supplement* to the express contractual covenants, to prevent a contracting party from engaging in conduct which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract." (*Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 1153.)

"In California, the factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant's performance occurred; (4) the defendant unfairly interfered with the plaintiff's rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct." (*Rosenfeld v. JPMorgan Chase Bank, N.A.* (N.D. Cal. 2010) 732 F. Supp.2d 952, 968.) The statute of limitations for a claim for breach of the implied covenant of good faith and fair dealing is two years. (See Code Civ. Proc., § 339, subd. (1).) "When damages are an element of a cause of; *Bennett v. Ohio National Life Assurance Corp.* (2023) 92 Cal.App.5th 723.)

Plaintiff alleges Apple breached the covenant of good faith and fair dealing when it failed to adhere to the Agreement. (TAC, ¶ 79.) He further alleges that the breach is further evidence by Apple's conduct in deleting the entire database and actively concealed the fact from Class/Subclass Members. (TAC, ¶ 82.) As stated above, Plaintiff fails to allege sufficient facts to support the delayed discovery rule. Thus, Plaintiff's claim began accruing in 2016 at the latest. Plaintiff did not file his action until October 25, 2024. Thus, in the absence of the delayed discovery rule or another tolling principle, Plaintiff's claim was untimely in 2024.

Accordingly, Apple's demurrer to Plaintiff's second cause of action is SUSTAINED with 20 days' leave to amend.

iii. *Fraud Claims*

Causes of Action three (intentional misrepresentation, fraud, and deceit), four (concealment), and (promissory fraud) are all fraud claims, which are subject to a three-year statute of limitations. (See Code Civ. Proc., § 338, subd. (d).) Fraud claims are not deemed to have accrued “until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (*Ibid.*)

The fraud claims are predicated upon Apple’s failure to adhere to the terms of the Agreement, the conduct regarding the Portal from 2018-2022, and the conduct of supervisors regarding employees’ inquiries as to the Agreement. (TAC, ¶¶ 94-95, 107-111, 129-131.) Plaintiff alleges that he did not discover the facts constituting fraud until the March 29, 2023 conversation during which he was informed that the Portal had been marked defunct and the database has been erased. (See TAC, ¶ 24; Opp., p. 4:18-24.) However, as explained above, Plaintiff fails to sufficiently allege delayed discovery as to the failure to pay the amounts owed from the 2011 and 2016 submissions. He alleges fraud occurred when Apple failed to pay under the Agreement and he knew of the non-payment contemporaneously. He fails to allege any tolling principles from 2016 to 2018. Moreover, he did not initiate this action until October 25, 2024. Thus, even if the claim was tolled from 2018 (when the portal conduct started) to March 2023 (when Plaintiff found out the database was deleted) it appears on the face of the TAC that Plaintiff’s fraud claims are time-barred.

Accordingly, Apple’s demurrer to Plaintiff’s third, fourth, and sixth causes of action is SUSTAINED with 20 days’ leave to amend.

iv. Fifth Cause of Action-Conversion

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages. Conversion is a strict liability tort. The foundation of the action rests neither in the knowledge nor the intent of the defendant. Instead, the tort consists in the breach of an absolute duty; the act of conversion itself is tortious. Therefore, questions of the defendant’s good faith, lack of knowledge, and motive are ordinarily immaterial.” (*Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1066, [80 Cal.Rptr.2d 704].) The basis of a conversion action “ ‘rests upon the unwarranted interference by defendant with the dominion over the property of the plaintiff from which injury to the latter results. Therefore, neither good nor bad faith, neither care nor negligence, neither knowledge nor ignorance, are the gist of the action.’ ” (*Ibid.*) (*Los Angeles Federal Credit Union v. Madatyan* (2012) 209 Cal.App.4th 1383, 1387; see also CACI, No. 2100.) The statute of limitations for a conversion claim is three years. (See Code Civ. Proc., § 338, subd. (c)(1).) The statute of limitations for conversion accrues on the date of the injury, i.e., the date of the conversion. (See *Strasberg v. Odyssey Group, Inc.* (1996) 51 Cal.App.4th 906, 915-916.)

Plaintiff alleges Defendant used Class Members’ ideas and then failed/refused to pay the promised wages. (TAC, ¶ 120.) Here, the purported conversions occurred in 2011 and 2016, respectively. As explained above, the delayed discovery rule is not applicable here. Thus, the statute of limitations for this claim ran by the time Plaintiff filed his Complaint.

Accordingly, Apple’s demurrer to Plaintiff’s fifth cause of action is SUSTAINED with 20 days’ leave to amend.

vi. *Eleventh Cause of Action- Failure to Furnish Accurate Wage Statements*

The statute of limitations for Plaintiff's eleventh cause of action (failure to furnish accurate wage statements) and violation of PAGA is one-year. (See Code Civ. Proc., § 340, subd. (a) [within one year: an action upon a statute for a penalty or forfeiture, if the action is given to an individual, or to an individual and the state, except if the statute imposing it prescribes a different limitations].)

Apple argues that Plaintiff alleges he discovered the alleged nonpayment on March 29, 2023, at the latest but he did not file his lawsuit until October 2024, and he did not file his PAGA notice until November 4, 2024. (MPA, p. 14:2-7.) Plaintiff fails to respond to this argument. Here, Plaintiff's eleventh cause of action ran by March 29, 2024, prior to his submission of the PAGA notice to the LWDA. Plaintiff fails to allege any facts to support tolling of the statute of limitations. Accordingly, it appears Plaintiff's eleventh cause of action is time-barred.

Based on the foregoing, Apple's demurrer to the eleventh cause of action is SUSTAINED with 20 days' leave to amend.

vii. *Twelfth Cause of Action- Violation of the UCL*

The statute of limitation for a cause of action under the UCL is four years. (See Bus. & Prof. Code, § 17208.)

Here, Plaintiff's twelfth cause of action is predicated upon all of Plaintiff's claims. As explained above, the demurrer has been sustained as to the underlying claims. Thus, the demurrer to Plaintiff's claim under the UCL should be sustained as well. (See *Becerra v. McClatchy Co.* (2021) 69 Cal.App.5th 913, 951 [where an unfair business practices claim "is derivative of an underlying violation of law, it must stand or fall with the underlying claim"].)

Accordingly, Apple's demurrer to Plaintiff's twelfth cause of action is SUSTAINED with 20 days' leave to amend.

XLV. CONCLUSION

Apple's demurrer is SUSTAINED with 20 days' leave to amend.

The Court will prepare the order.

- oo0oo -

- 00000 -

Calendar Lines 12-13

Case Name: *K.K. v. TBMBM US, Inc.*

Case No.: 25CV469704

This action arises from defendant TBMBM US, Inc.’s alleged conduct in permitting Google LLC (“Google”) to eavesdrop on communications sent and received by Plaintiff K.K. and Class Members on pinkcherry.com (the “Website”).⁶

Before the Court is Defendant’s demurrer to Plaintiff’s Complaint and motion to strike portions contained therein, which are both opposed. For reasons discussed below, the Court **VERRULES** Defendant’s demurrer, **DENIES** its motion to strike, and **ORDERS** Plaintiff to move for an order seeking permission to proceed under a pseudonym within 20 days’ of this order.

I. BACKGROUND

According to the allegations of Plaintiff’s Complaint, she created a Gmail account around 2012. (Complaint, ¶ 4.) In January 2025, she visited the Website on the same browser she used to access Gmail and she purchased a Svakom Chika Rabbit Vibe vibrator. (*Ibid.*) Each of the communications was intercepted in transit by Google—as enabled by Defendant—including communications that contained confidential information about Plaintiff’s sex toy purchase. (*Ibid.*) Neither Defendant nor Google obtained Plaintiff’s prior consent to the interception nor was she on notice of the interceptions. (*Ibid.*) Google allegedly wiretapped the Website with its tracking technologies—including those associated with “Google Analytics,”—which Defendant purposely installed on the Website.⁷ (Complaint, ¶¶ 30, 32.) Google’s tracking technologies send secret instructions to a Website user’s browser, without alerting the individual that this is happening. The trackers then cause the browser to secretly and simultaneously duplicate the user’s Website communications, transmitting these communications to Google’s servers alongside additional information about the Website user’s identity. (Complaint, ¶¶ 31, 44-59.) Defendant never received users’ consent to disclose their data. (Complaint, ¶¶ 60-66.)

Based on the foregoing, Plaintiff initiated this action on July 1, 2025, with the filing of the operative Complaint, which asserts the following causes of action: (1) violation of the California Invasion of Privacy Act (“CIPA”) (Pen. Code § 631); and (2) violation of CIPA (Pen. Code § 632).

XLVI. DEMURRER

Defendant demurs to the Complaint entirely and to the first and second causes of action for failure to state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

⁶ Defendant is a “place for all things sexual health, wellness, and pleasure.” (Complaint, ¶ 2.)

⁷ Google Analytics uses “identity spaces” to discern individual users through combinations of User-ID, user-provided data such as email, phone number, name, and address, device ID, and behavioral modelling. (Complaint, ¶ 35.)